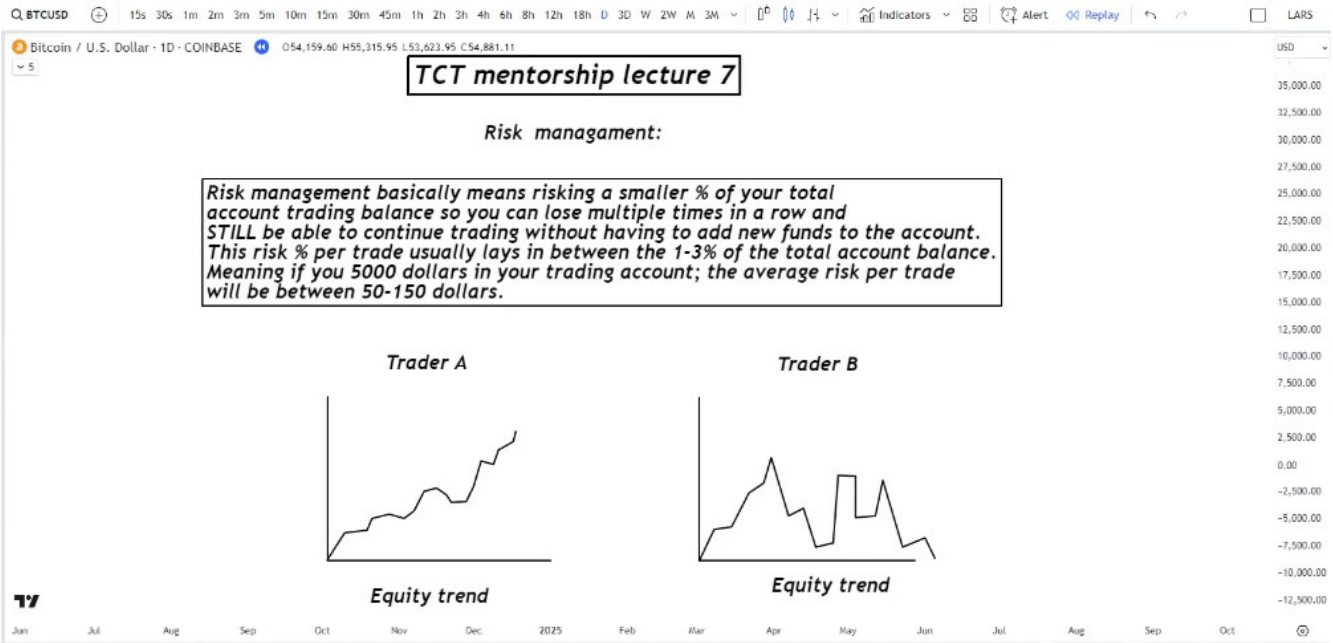
(1724) TCT mentorship - Lecture 7 | Risk Management - YouTube
https://www.youtube.com/watch?v=NO2R3Ngz8_c

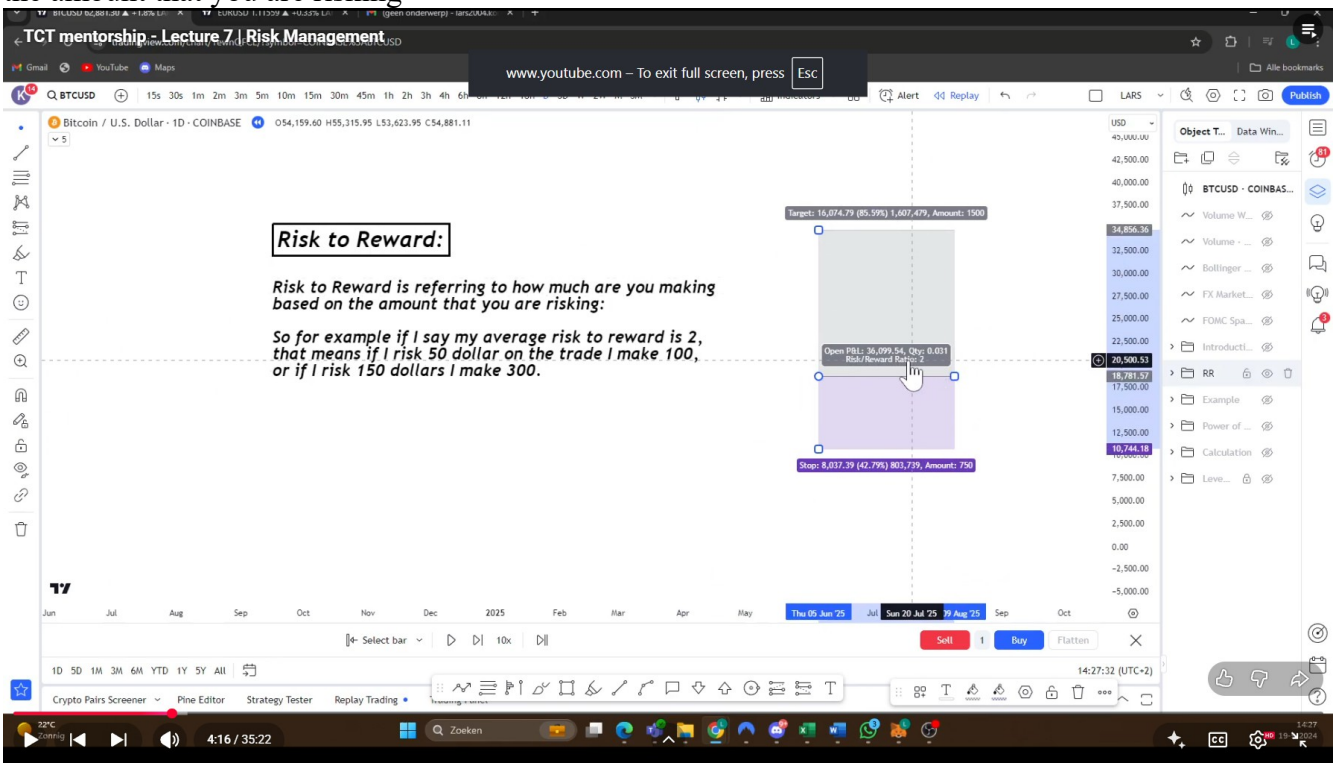
Transcript:



(00:02) what is up guys and welcome to lecture 7 here at the TCT mentorship where we will be talking about risk management and guys this is by far the most important lecture in this entire mentorship because no matter how good your technical analysis is and your understanding of TCT schematics without proper risk management you will never become profit able okay never and it surprises me that there's such a big misconception about risk management and also the use of Leverage which in my opinion is the first thing you guys
(00:43) should be learning and should be trying to understand when getting into trading because trading is a longevity game you want to stick around for a long time so you can enjoy the profits later on okay so what exactly is risk management well risk management basically boils down to risking a smaller percentage of your total account trading balance so you can lose multiple times in a row and still be able to continue trading without having to add new funds to the account and this risk percentage per trade usually lays in between 1 to 3% of the
(01:23) total account balance meaning if you have $5,000 in your trading account the average risk you take per trade will be between $50 to $150 which is equal to 1 to 3% of your trading account and what you will see when you study traders that apply proper risk management versus traders that don't is the difference in uh a very big difference in equity Trend so in Trader a right here we have a Trader that applies proper risk management and what you will see is that his Equity Trend so his total account balance over time will
(02:04) slowly increase in a consistent way okay he have ups and downs he have moments where he loses a bit more but then he picks back up and he starts winning again but it's a slow and steady grind up that's the signs of a profitable Trader that applies proper risk management now if we look at Trader B what you will see is that probably in the beginning he gets lucky and he wins and when he wins he wins way more than he actually should win because he's over risk on the position so he will have way sharper moves in his Equity trend from
(02:38) growing incredibly fast but then losing it twice as fast and you will have those moments where you actually make good money and your account balance spikes up but over time you will always end

up Net Zero you will always end up Net Zero because they will get greedy they will Revenge trade and the profits will not stay in the account if you you don't apply proper risk management and trust me guys I'm talking from experience because I was Trader B back in the day when I didn't understanded okay now I'm a Trader a I actually showed you guys My

(03:11) Equity Trend not so long ago on my Mexi trading account and it literally it looks something like this right because no Trader has a 100% win rate but when you manage your losses and make sure that your wins always are always um end up being more than your losses you will have an equity Trend that looks like this okay so let's pull up the risk to reward so what is risk to reward because everything boils down to risk to reward and risk to reward is just referring to how much are you making based on the amount that you are risking



(03:56) okay so for example if I say my average risk reward is two that means if I risk $50 on a trade I tend to make $100 or if I risk $150 I tend to make 300 on each trade and as you can see right here I have the long position to open and right here in the middle you can see risk to reward ratio that equals two so that means if I enter this trade with a $50 risk that means if I lose I lose $50 but if I win in I make 100 so it's a two to one okay you're making twice um as much as you are losing if you lose that's basically

(04:41) what risk reward is how much are you making based on the amount that you are risking and risk to reward is everything okay everything in trading is based around risk to reward and the percentag of the trades that you win so let me pull up an example to show you guys so like I said everything in trading is based around risk to reward and the percentage of the trades that you win so let's say you had a terrible trading week and you lost six times in a row risking 1% on each trade while every trade had a risk reward of three meaning

Example:

Everything in trading is based around risk to reward
and the percentage of the trades that you win.

Let's say you had a terrible trading week and lost 6 times in a row,
risking 1% on each trade while aiming for a 3% gain on each trade, 3RR:

If your starting account balance was 10.000 after one week you would have:

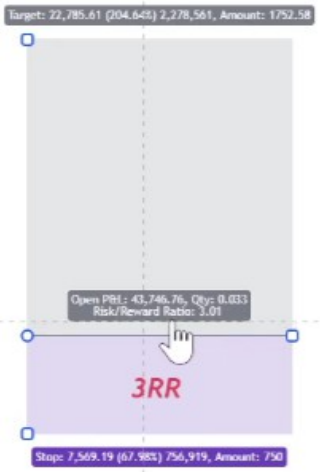
Trade 1: 10.000 x 0.99 = 9900
Trade 2: 9900 x 0.99 = 9801
Trade 3: 9801 x 0.99 = 9702.99
Trade 4: 9702.99 x 0.99 = 9605.96
Trade 5: 9605.96 x 0.99 = 9509.90
Trade 6: 9509.90 x 0.99 = 9414.80

So after one week your trading account balance after compounding would be $9414.80

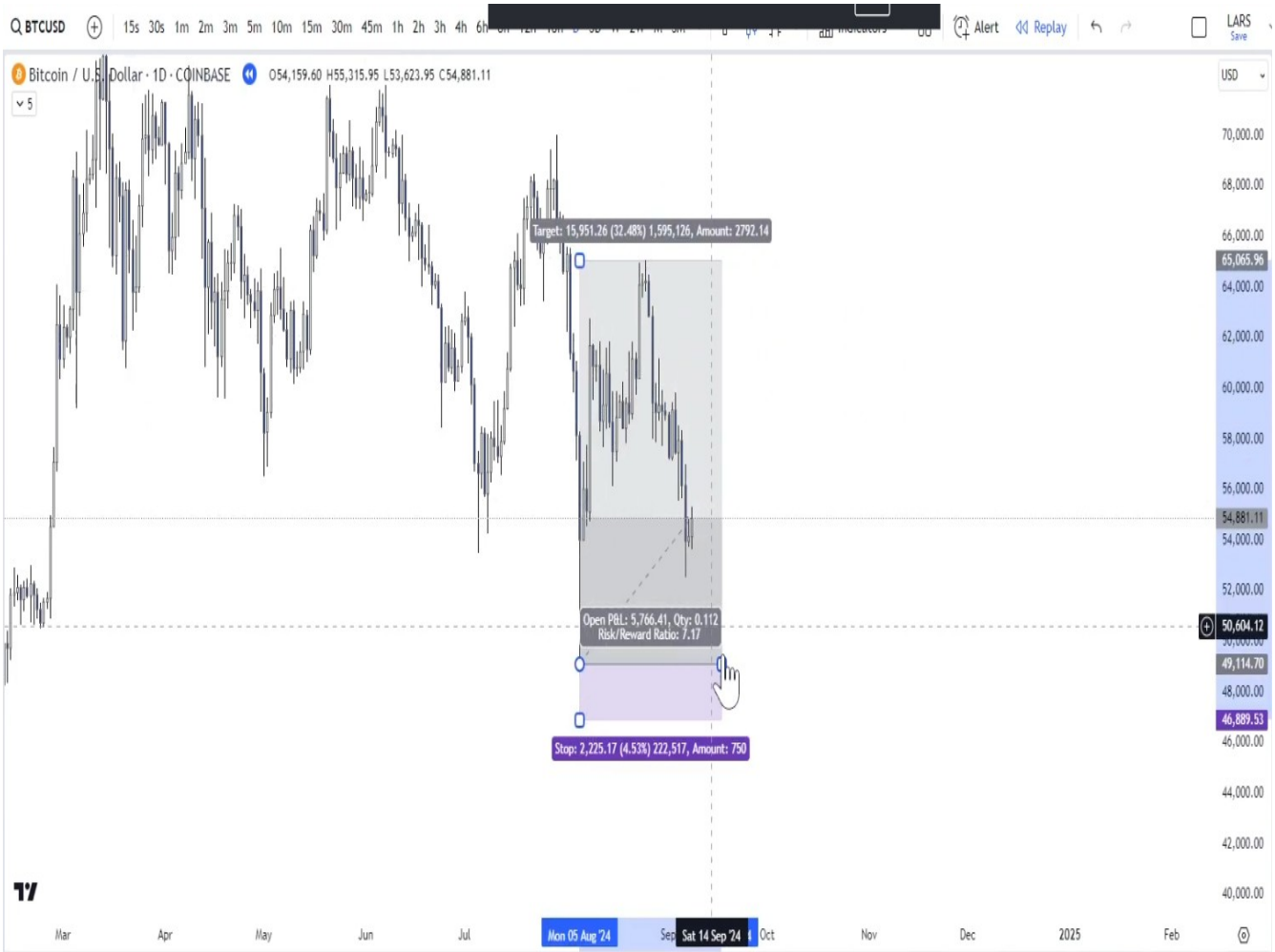
Let's say the next week you won 3 times in a row:

Trade 1: 9414.80 x 1.03 = 9697.25
Trade 2 9697.25 x 1.03 = 9988.16
Trade 3 9988.16 x 1.03 = 10287.81

As you can see after only 3 good trades the total account balance is well up into profits,
2.87% to be exact, even though out of his last 9 takes trades he lost 6 and won 3.
The higher Risk-to reward of 3 allows the trader to have a lower % WR and still make very good money.

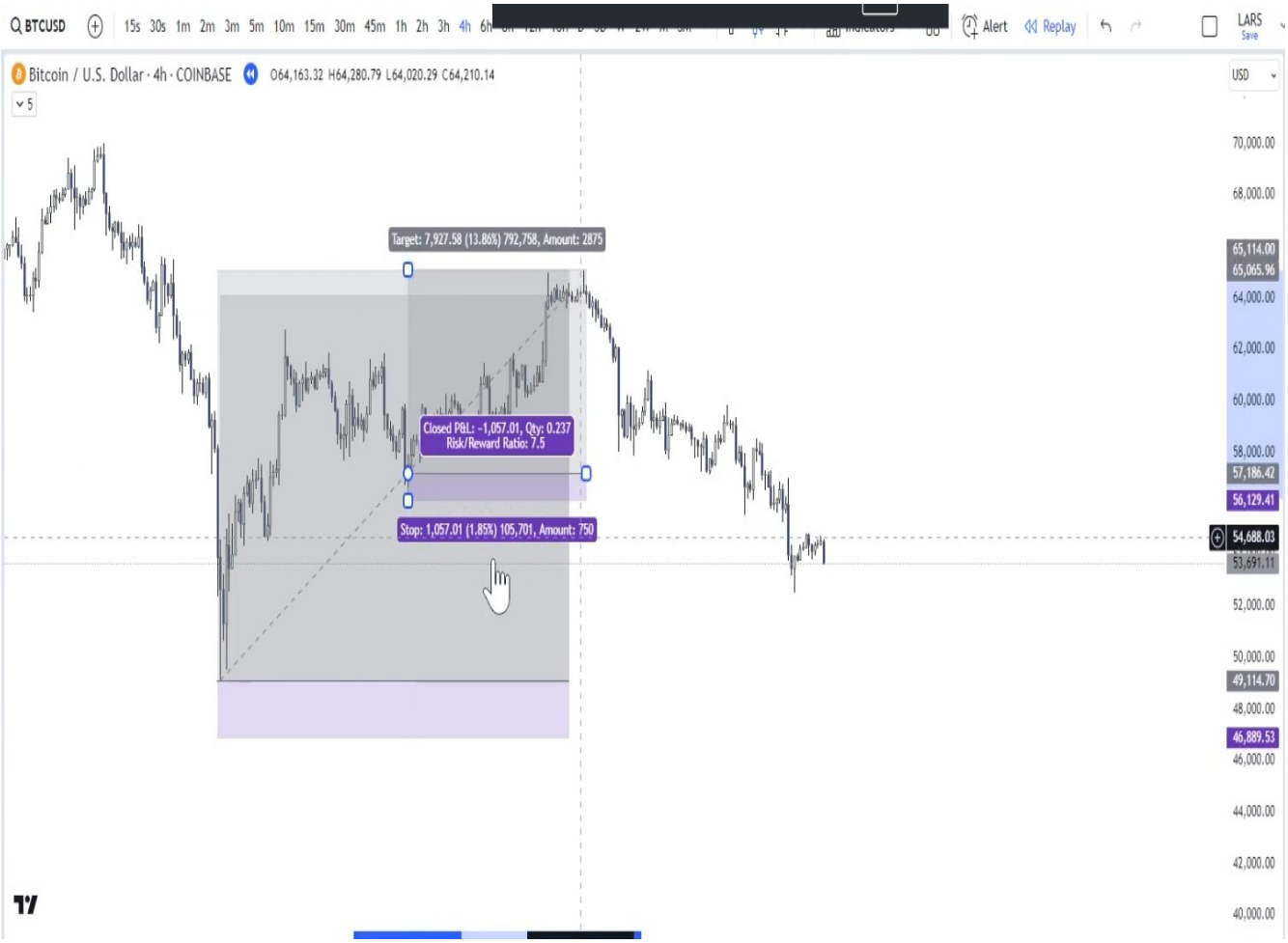


(05:21) if you won the trade you would have made 3% on your account balance okay so you applying comp compounding okay applying compounding if you had a starting account balance at the beginning of the week that was 10,000 and you lost six times in a row after that one week of trading your account balance would be 9,448 okay you can see the trades right here every time you lose 1% that's why I multiply it by 0.
(05:57) 99 and you see after six trades you went from 10,000 to 9,414 which is a bit less than 6% because you're compounding okay so after one week your trading account balance after compounding will be 9,414 180 now let's say the next week okay let's say the next week you won three times in a row but every time you win you aim for a 3% gain meaning a three risk to reward meaning If I multiply that $ 9,414 180 by a 3% gain because we're risking 1% and we're aiming for a risk reward of three after only three trades you are back at an account balance of
(06:49) 10,287 81 so as you can see after only three good trades the total account balance is well up into profit profits 2.87% to be exact so even though out of your last nine taken trades you lost six and you won three you can still make very good money because the higher the risk to reward the lower the percentage your win rate can be because you win way more than you lose so you can lose multiple times in a row but because you win way more when you win you can have a lower percentage of a win rate and you can still make very good
(07:34) money as you can see right here risk to reward you can see it right now I increased it and it says three meaning if you lose a trade you lose 1% of your account balance if you win you gain 3% of the on the account balance okay so that's why there are Traders out there that have different styles some Traders they win very little but when they win they win very big meaning they have a very very high risk to reward ratio and a lower win rate percentage and they can still make money here at TCT trading my win rate is around 70 to
(08:09) 80% on a consistent basis over I think this is like data over um almost 200 trades and my average risk reward is 2.3 average risk reward is 2.3 so you can make the calculation of the money that you can make when having a high win rate and a good risk to reward because that is what TCT Concepts allow you to have now I already know okay I already know that um let me tell you one more thing okay everything comes down to RIS to reward okay the percentage moves do not matter listen closely the percentage of the move does not matter let me me show you

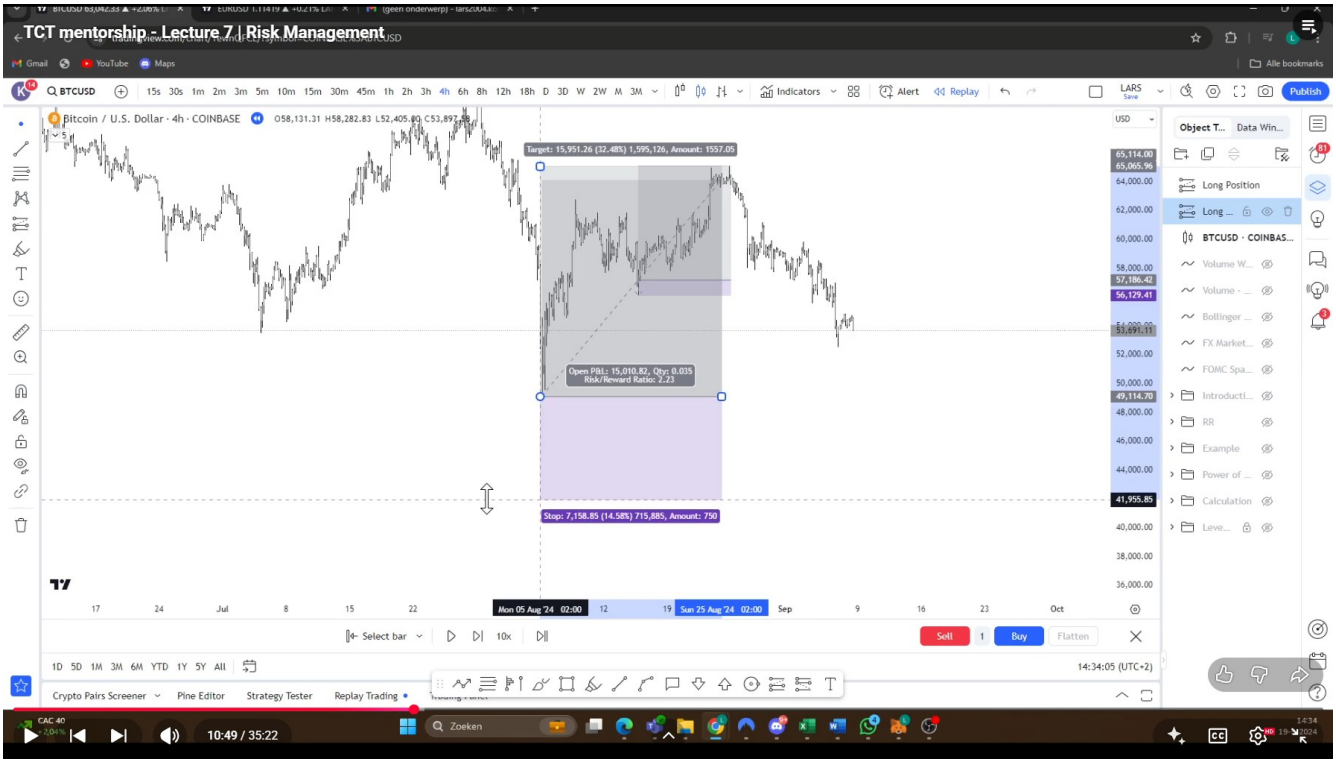


(09:00) an example okay let me show you an example in the chart let's say Trader a catch the exact bottom okay Trader a catched the exact bottom on bitcoin however his invalidation was right below this candle's low talking about this candle right there that was his invalidation okay he could have caught the exact bottom and then let's say he took it up all the way towards that high he could have cashed out perfectly okay he could have cashed out perfectly it may be a 32% move in the Bitcoin price but that doesn't matter we

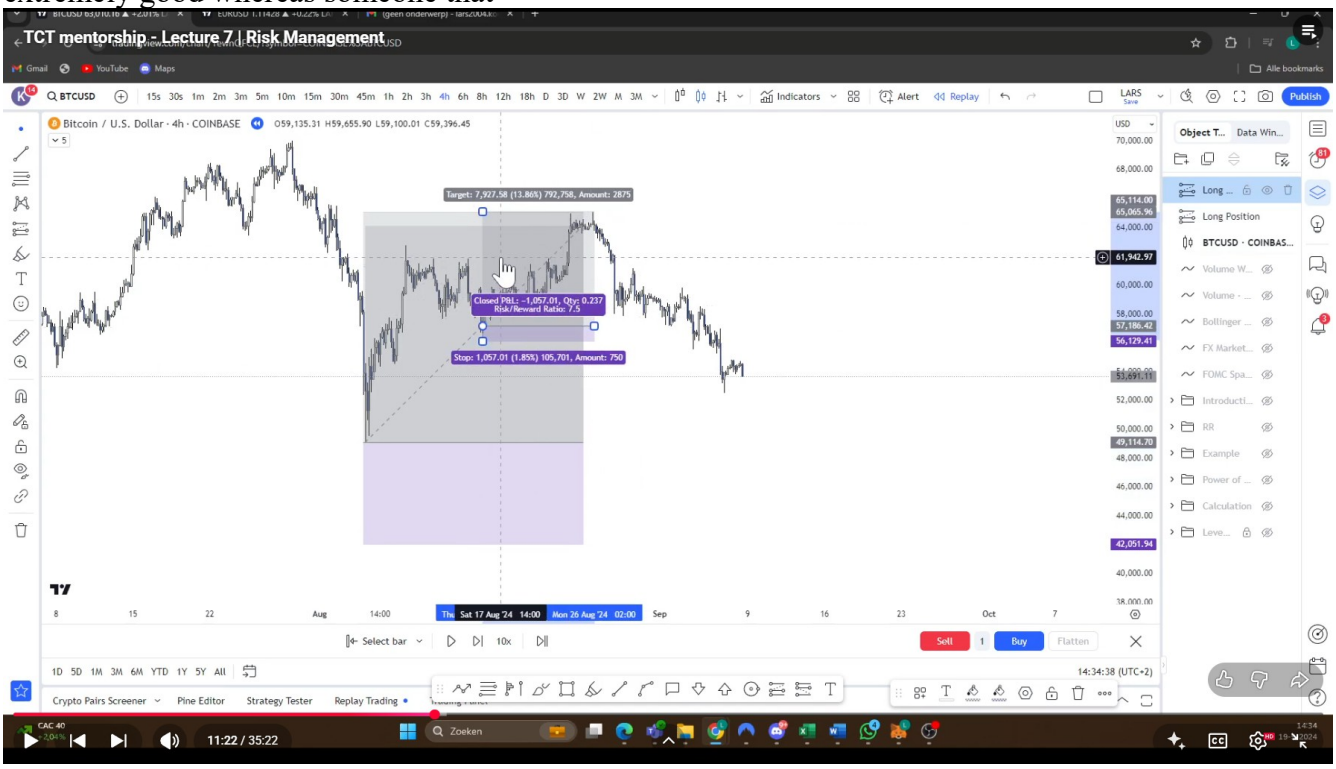
(09:40) just need to check the risk to reward ratio which is 7.17 meaning if he risked 1% and he catched the exact bottom he would have made 7% on his account now Trader B for example he could have CAU a low time frame entry right here put a stop loss below that Wick and Target the exact same point and as you can see Trader B who ended up entering way higher catching less of a percentage move on bitcoin has a higher risked reward ratio than Trader a because his invalidation his stop- loss size is smaller so it's all risk to reward if someone



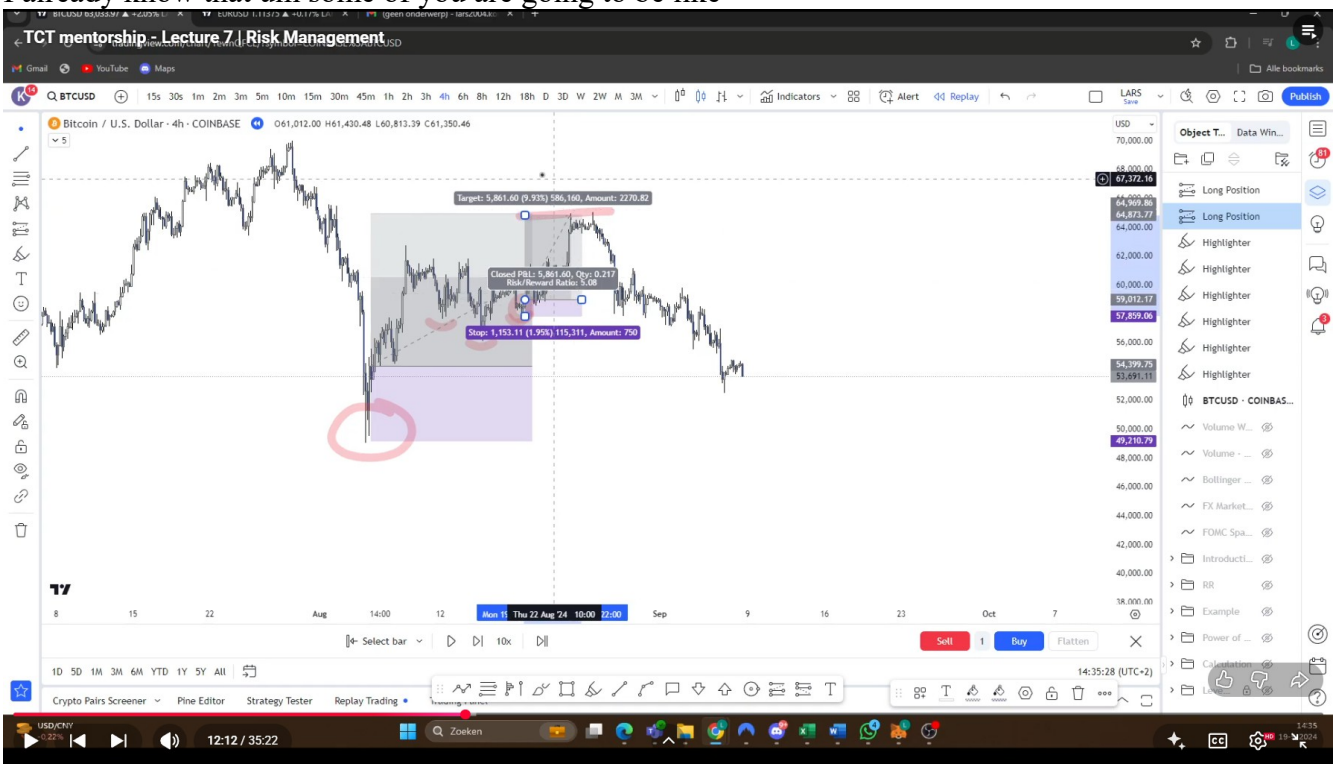
(10:33) post a screenshot of his percentage gain without showing the setup behind it and the invalidation and this long to with the risk to reward it doesn't matter because what if he just entered here but his invalidation is all the way down at 42k then his risk to reward is only two meaning if he had a $10,000 account he would only make $226 whereas Trader B who entered way higher targeting the same level makes way more 750 so this doesn't matter okay percentage moves the 32% doesn't matter it's all about the risk to reward Trader



(11:17) a only 2.26 Trader B 7.5 and Trader B will make way more money that's why you also don't have to worry to catch the exact bottoms and the exact tops because maybe there was no entry in here but that's totally fine because we can catch a local entry right here where we have a one we have a two and we have a three and we enter way up here but with a very tight invalidation and a good Target giving you right here if you entered on the breakup structure for example a risk reward of five which is extremely good whereas someone that



(11:58) may have caught the the exact bottom and he took the SFP and he put his stop loss below the low and he targeted the high he only makes 2% a risk reward of two so even though you entered higher catching a less of a percentage move your risk reward is higher and you make more than Trader a obviously if Trader a applies proper risk management where if he doesn't you know in the long term he will not make money so everything comes down to risk to reward per setup now I already know I I just I already know that um some of you are going to be like



(12:47) but but if I only risk 1 to 3% per trade it will take me so long to become financially free right I I I just know some of you are going to think that right now but if I only risk 1% how how I'm going to make money guys even though that's very tempting to say if you do the proper math you realize you are completely wrong okay so I want to show you the power of making 5% a week okay it's around 1% a day if we don't count to weekends um but 5% a week is something I have been averaging consistently each week for five months

The power of making 5% a week:

Starting account balance = $10.000

10.000 x 1.05^35 = $55.160,15 → 1 year of trading
55.160,15 x 1.05^35 = $304.264,26 → 2 years of trading
304.264,26 x 1.05^35 = $1.678.326,31 → 3 years of trading

Use of propfirms:

- Starting account balance : $1.000
- Buy challenge: : $-500 → 100K account
- Have to make 10% and 5% which will take you about 3 weeks to pass

- Payout every 2 weeks with 80% profit split
- 10% gain every payout = 8K net profit for you
- 8K x 32 weeks = after year 1 = 288K

(13:28) now live on YouTube I don't know uh for the person that's watching this how long you've been following me but I've been averaging 5 to 10% each week for five months now so it's literally possible I have shown you guys on YouTube you can go back in time and you can watch it right but it's 100% po um possible when trading TCT schematics okay so I want you to do the math and I have kind of already done it for you so just listen to me the power of making 5% a week if you have a starting account balance that's 10,000 and there are around 35 trading
(14:10) weeks in a year okay you have holidays and you know vacations all that stuff that means if you make 5% a week consistently just checking from a compounding uh perspective from a weekly perspective okay compounding effect from a weekly perspective Which is less good than a daily perspective which is usually is so this literally is this is the minimum after one year of trading you will turn your 10,000 into $ 55,1 16015 after year two that will be more than 300,000 and after year three you would be a multi-millionaire so in only three years
(14:51) of trading you would have turned five figures into multiple seven figures we which is absolutely insane okay now these calculations are based if you only use your own capital okay however if you're starting out with a smaller starting capital I suggest you use prop firms to build up your starting capital and then you ditch them again because they are riskier with payout denials and all that stuff but let's say you have $11,000 as a starting account balance now you buy a challenge of a prop firm uh which will be like around 500
(15:34) bucks if you want a 100K account and in order to get the account you have to pass two phases probably phase one is 10% and phase two is 5% whereas if you make 5% a week it will take you around three weeks to pass and then normally you have a payout every two weeks with an 80% profit split so if you make 10% in those two weeks right um every payout will be 8K 10% of 100k is 10K and an 80% profit plit makes it 8K now if you do that for 32 more weeks because it took you 3 weeks to pass and we have 35 weeks in a year you would have made

Starting account balance = $10.000

10.000 x 1.05^35 = $55.160,15 → 1 year of trading
55.160,15 x 1.05^35 = $304.264,26 → 2 years of trading
304.264,26 x 1.05^35 = $1.678.326,31 → 3 years of trading

Use of propfirms:

- Starting account balance : $1.000
- Buy challenge: : $-500 → 100K account
- Have to make 10% and 5% which will take you about 3 weeks to pass

- Payout every 2 weeks with 80% profit split
- 10% gain every payout = 8K net profit for you
- 8K x 32 weeks = after year 1 = 288K

After year 1 leave the propfirm and continue trading with own capital:
- 288.000 x 1.05^35 = $1.588.612,43

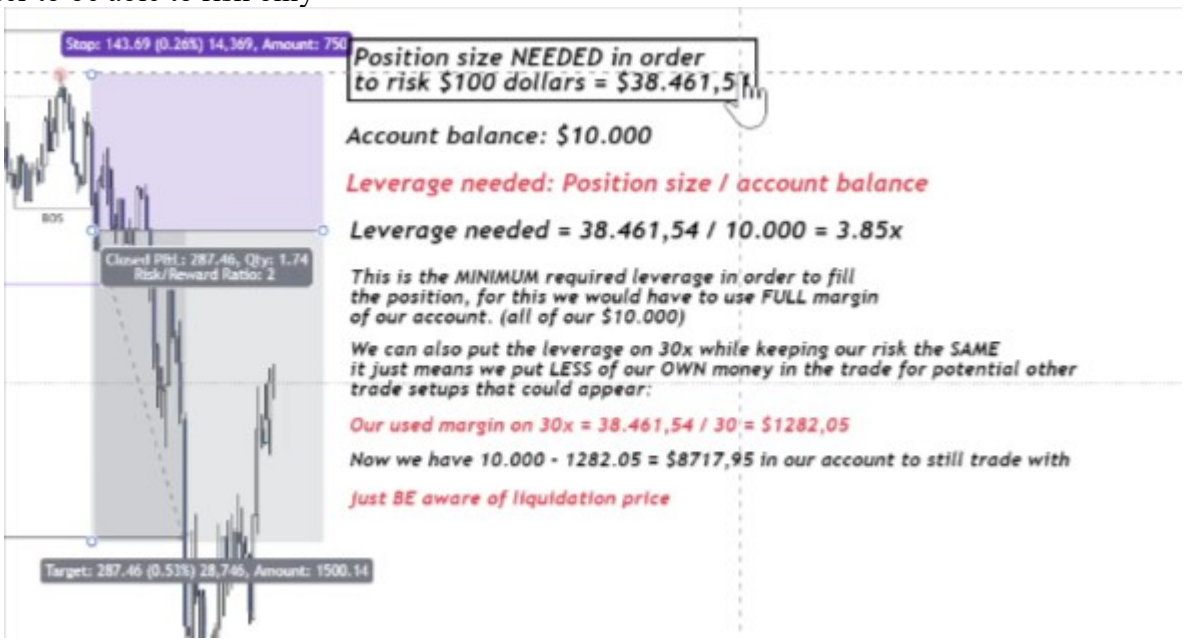
(16:15) $288,000 okay after only one year of trading starting with a $1,000 account balance now you take that starting or or you take that money you ditch the prop firm and now you start trading with your own capital capital and then in your second year you would turn that into 1.6 million around 1.6 million and guys this is only by making 5% a week for the people that have been following me I show setups just a single setup that's already a five risk to reward and that's one trade setup you only need 5% in a week in order to make
(16:54) these results I've shown you multiple setups of three plus risk to reward sometimes even nine sometimes there's even a banger that's like 10 plus but either way the consistent gains count only 5% a week that's like two you only need two trading setups they have a good risk reward of 2.5 and you're done and trust me they come every week promise me when I say this they come every week not I know there are still going to be some of you out there that think three years is too long or two years is too long guys you need those years as a Trader to
(17:45) develop if I were to give you 1 million right now there's no way your trading psychology can handle seeing your p&l fluctuate with five figures because that money is is incredible to you you put too much value into that money amount and you're going to stress if you see minus 5,000 and you're going to take profits too soon when you see plus 20K if I give you high amounts of money right now you're going to be trading profits and you're not going to be trading the plan so you need those years to get used to the higher amounts of
(18:25) money okay when you buildt your own capital from 10,000 to 1.7 million you can actually handle the 1.7 million if I gave you that right now you would [__] your pants you would literally [__] your pants so you need those years to one evolve as a Trader and increase your skills and your mental trading capacity okay you get used to slowly seeing an increase in your money amounts therefore you can also trade with more money so don't think this is too long if you think three years is too long to become a multi-millionaire you want it in one
(19:05) year most likely you will be overleveraging you'll be over risking and you'll be trying to get everything too soon and the harder you chase wealth in this game of trading the more resistance you will find but I'm showing you the possibilities that in literally two years by just sticking to a 1% risk

rule between 1 to 3% on depending on the quality of the setup by making only 5% a week you can literally become a multi-millionaire in two years so so just listen to me and promise me that you'll apply good risk management even if I share a setup with
(19:43) you guys in the VIP Discord I am still sticking to my Risk rules so don't don't over leverage don't over risk not even over leverage because that's something we're going to get into now but don't over risk never over risk stick to that 1 to 3% because you only need 5% a week to be financially free for the rest of your life so second Point very important how do we calculate our position sizes so we can actually apply proper risk management because that's very important so let's pull up the chart where I have an example for you guys

(20:36) so as you can see right here these are the formulas how where we calculate um our position sizes in my opinion I don't think anybody calculates it like me and it's literally the the the fastest and easiest way to do it in my opinion so let me explain right here we have a beautiful model one TCT distribution schematic that went over into a model two where we grabbed that extreme liquidity point and then we broke structure so as you can see right on that break of structure that's where I entered and the risk to reward in this

(21:13) setup is two okay so if I risk 100 bucks I make 200 now to calculate our position size for crypto we use the formula risk amount in dollars divided by your stop loss size in percentage mile or times 100 that equals your position size so if I want to enter this trade and my account balance is 10,000 and I want to risk 1% which is $100 my position size on this trade will be I divide my $100 by 0.
(21:57) 26 which is the size of my stop- loss as you can see right here and then multiply it by 100 giving me a position size of $ 38,46 54 it's that simple reasoning behind this little formula is that your position size equals 100% so if your stop loss needs to be equal to $100 that means 0.26% is equal to $100 while the position size is 100% so to get 100% you just divide the 100 by 0.
(22:36) 26 multiply by 100 and you have your total position size that's it now for Forex and gold it's a bit different the starting formula is the exact same right you have your risk amount in dollars you divide it by your stop- loss size and you multiply it by 100 however Forex works with lots okay so you have to fill in the amount of lots that you want to enter the trade with and one lot is 100,000 that that is because um in Forex the percentage moves are way smaller making your position size way bigger because you divide by a smaller uh
(23:14) percentage meaning your position size will be way bigger and therefore they have lots so you don't have to fill in oh I want to enter with 2.7 million no you just enter with 2.7 Lots or or 20 or 27 Lots okay so what you do is after you do the normal calculation you just divide it by 100,000 to get the amount of lots and for gold it works the exact same however for gold one lot is the price of gold so PG stands for the price of gold times 100 okay so one lot in Forex is 100,000 and one L in gold is the price of gold
(23:56) mile 100 so if this was a Forex position I would have to divide this by 100,000 and I'll get something in a 0.3 Lots okay and that's basically it it's very simple you pull out your uh short tool you check okay what's my percentage stop loss and you just divide your risk dollar amount by the percentage of the stop- loss and you multiply it by 100 very quick you can be done in one second with calculating the position size and this already is a very good introduction to leverage okay it's a very

good introduction to leverage
(24:39) because as you can see in order to fill this position I need $ 38,46 54 if I want to risk $100 however my account balance is only 10,000 so without the use of Leverage I cannot fill this position even though I only want to risk 1% so when people are talking about oh don't use leverage Leverage is gambling Leverage is is too risky what do they mean I want to risk 1% of my account balance but because I'm scalping on the the lower time frame making my percentage moves smaller I need leverage in order to be able to risk only



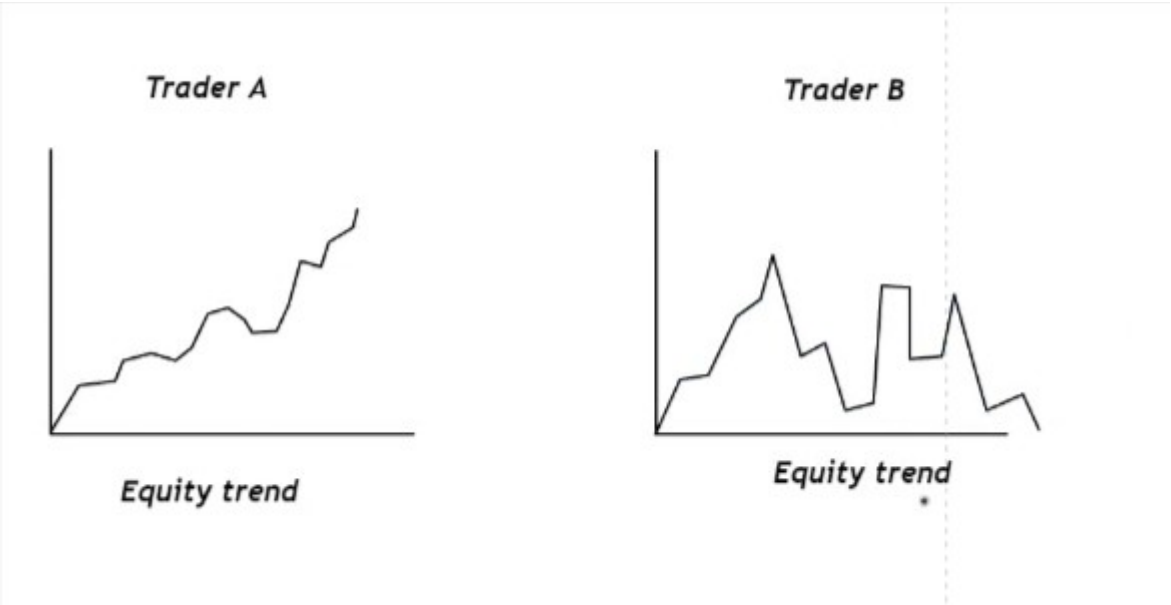
(25:41) 1% that's it that's why I don't understand when people talk about oh yeah I overleveraged what do you mean you overleveraged leverage doesn't matter you over risk you risk a higher amount than you can handle Okay so our account balance is 10,000 we need 38,000 The Leverage we need is therefore we just divide our position size by our account balance so the leverage needed is dividing your position size by your account balance so dividing it you get 3.
(26:20) 85 X so in order the minimum required leverage in order to fill your position we would have to use full margin Okay so I have a $110,000 account balance if I want to fill my position I need a minimum of 3.8 5xs leverage if I select that amount of Leverage I would have to put up $10,000 of my own money and then I can multiply with the leverage with 3.
(26:50) 85 and I can fill the position but that requires me to use my total account balance in that trade which can be pretty inconvenient if if I let's say have another setup I want to take right let's say this trade ends up being a swing run right it runs way more down I want to hold it well I already used up all my account balance for this trade so I have no more money to enter another trade and this calculation just calculates the minimum required leverage in order to fill the position and we would have to use full margin for this and margin is simply a definition or a
(27:30) term that simply means how much money are you putting in the trade so if I say we have to use full margin it means we have to put up our entire account balance in that trade okay while still only risking 1% keep that in mind we're only risking 1% it's just a smaller trade setup meaning we have to enter with more to still risk 1% now we can also put the leverage on 30X okay while keeping our risk the exact same it just means that we put less of our own money in the trade for potential other trades that could appear so what
(28:14) happens if I use 30X leverage well that just means that if I use 30X leverage the money that we have to put in the trade ourselves will simp Simply Be dividing the position size by The Leverage and that will be $1,282 5 so it doesn't matter if someone took this trade with 3.85 leverage or 30 leverage

the risk is the same that that's it the leverage doesn't matter the leverage does not matter I could also enter this trade with 60 leverage I'm still risking 100 bucks it just means I'm putting up less money myself in the
(29:08) trade because now we have $877 95 cents in our account to still trade with for potential other setups so if someone posts a screenshot of 400% gain while being on 100 ex leverage that means jack [__] that means absolutely nothing absolutely nothing it just means we just want to know what risk amount did you put in the trade and what is the risk reward because I can enter this trade with 3.
(29:48) 85 leverage and make the same amount of money as if I were risking or if I were putting up 30X leverage my risk dollar amount stays the same therefore my dollar take profit amount stays the same it's just the margin the higher the leverage the less margin you put in the trade but leverage itself doesn't matter it literally doesn't matter the only thing you need to be aware of is the liquidation price meaning the the higher the leverage the earlier or The Closer by the liquidation price is okay and liquidation price basically means if price exceeds that
(30:23) point they just take your entire margin that you put up in the trade not your total account Ballance just the margin you put in the trade if you use isolated margin always use isolated okay you have cross and you have isolated very important when you use isolated margin you only risk the money you put in the trade if you use cross they can take your entire account balance so always use isolated um and just be aware that let's say if I enter this trade with uh 100x leverage that could mean that my uh liquidation price is here while my stop-

(31:01) loss size is here and you never want your liquidation price to be below your stop loss when you're shorting because that would mean your trade will already be be uh taken back by The Exchange prior to you actually hitting your stop- loss so always make sure that your liquidation price stays outside of your stop- loss range okay and then you're totally fine but I wanted to change your guys perspective on Leverage Leverage is just a tool where you can calculate how much margin you need to put in a trade in order to still risk the same amount it
(31:38) doesn't mean that you're risking more if you're using higher leverage you're just risking the same you're just calculating what margin you're putting on the trade and this this is how those fake trading gurus promote all their scams because they put up high leverage and then they press maybe like $3 and then they see a percentage people see a percentage gain of um 400% while in the meantime they risk $3 and then they made maybe [__] I don't know $12 or not even and then they uh people think

they're the [__] while
(32:14) they're not they're literally not leverage basically calculates how much margin you put in the trade while risking the same everything boils down to your risk dollar amount and your risk to reward ratio that's it leverage does not matter does not matter it matters when you have a smaller account balance and you want to risk higher okay so let's say I only have $1,000 in the account and I want to have a 4% risk because I really think this setup is going to be good you just need leverage in order to fill that position right but
(32:52) um it's all about how much are you risking and if you're risking that amount based on putting up more Market margin yourself you can use lower leverage if you want to use less margin yourself you put up higher leverage but the risk amount stays the same and one is not better than the other literally one is not better than the other so let me see if everything is going good everything is going good so I hope I could kind of change your mind guys while by showing you guys that percentage moves do not matter risk to

(33:25) reward matters and then how you can actually calculate your position size by just using this simple formula and then you realize that you need leverage but Leverage is not depending on or leverage doesn't have impact on how much you are risking it just means how much are you putting your up yourself for the trade to open okay so that's why I don't understand people talking about overleveraging like if you're overleveraging it just means you're over risking because you can use high leverage but still risk 1% of your
(33:58) account balance they're not correlated that higher leverage means higher risk so um hope this this makes sense to you guys if you have any questions just drop them in the Discord and um I'll try to get back to most of you but yeah I think this is something everyone should understand right otherwise literally guys if you don't understand it your account balance will look like Trader B it will look like Trader B and you don't want that to happen okay you don't want this to happen because this is what it will look



(34:32) like because you will over risk and you'll have amazing winning trades because everyone has beginner luck and then you crash back down twice as hard and all those spikes right here these spikes that you see are spikes of hope these spikes cause you to not switch to proper risk management because you just think of the possibility that it could happen again but over time everyone ends up being Net Zero and then will'll call trading a scam because they didn't understand that trading is a game of probabilities and we just need to take

(35:04) multiple trades execute while applying proper risk management with a good risk reward and a decent win rate and you are making money guaranteed if you have a back tested strategy and TCT Concepts is a back tested strategy so love all of you guys and I'll see you in the next lecture